

# Customer Relationship Management

## Module 5 – Implementation of CRM

For CS Students | Simple & To-the-Point

### 1. Implementation of CRM

**Definition:** CRM implementation is the end-to-end process of deploying a CRM system – from selecting the right software to configuring it, migrating data, training users, and going live.

It is not just installing software. A successful CRM implementation involves **people, process, and technology** working together.

**The three pillars of CRM implementation:**

| Pillar     | What it covers                                                        |
|------------|-----------------------------------------------------------------------|
| People     | Executive buy-in, employee training, change management, user adoption |
| Process    | Redesigning workflows, defining how CRM fits into daily operations    |
| Technology | Software selection, data migration, system integration, customisation |

**Key decisions before implementation:**

- **Build vs Buy:** Develop custom CRM in-house or purchase an off-the-shelf solution (Salesforce, Zoho, HubSpot)?
- **Cloud vs On-premise:** Cloud CRM is cheaper to start and easier to scale; on-premise gives more control over data.
- **Big Bang vs Phased:** Deploy all at once (risky) or roll out module by module (safer).

**Example (CS analogy):** Implementing CRM is like deploying a large software system. You wouldn't push untested code directly to production. Similarly, CRM implementation requires: requirements gathering (planning), development/configuration, UAT (pilot testing with a small team), and then full rollout – following a proper SDLC approach.

### 2. Issues and Problems in Implementing CRM

Studies show that **over 50% of CRM implementations fail**. The most common issues are not technical – they are organisational and human.

#### a. Lack of Clear Objectives

Organisations buy CRM without defining what success looks like. Without measurable goals, there is no way to know if the implementation worked.

#### b. Poor User Adoption

The most common reason CRM fails. Sales reps see CRM as extra admin work, not a tool that helps them. If people don't use it, data stays empty and the system is useless.

**Fix:** Involve end-users early, show them personal benefits (fewer manual reports, easier follow-ups), and make it part of daily routine.

#### c. Data Quality Problems

CRM is only as good as the data inside it. Organisations often migrate dirty data – duplicates, outdated contacts, missing fields – and the CRM becomes unreliable.

**Fix:** Deduplicate, clean, and validate all data *before* migration. Enforce data entry standards going forward.

#### d. Siloed Departments

CRM requires data from sales, marketing, and support. If departments don't share data or don't trust each other's records, the system gives an incomplete customer view.

#### e. Poor Integration with Existing Systems

CRM must talk to ERP, billing, inventory, and communication tools. Poor integration leads to manual double-entry, inconsistent data, and frustrated users.

#### f. Underestimating Scope and Cost

CRM projects often run over budget and over time because the full scope – customisation, integration, training, change management – is underestimated at the start.

#### g. Lack of Executive Sponsorship

Without a senior champion driving adoption, CRM gets deprioritised when teams get busy. Executive buy-in is critical for sustained adoption.

**Example:** A mid-sized insurance company spent Rs. 2 crore on Salesforce. Six months later, only 20% of agents were logging calls. Why? Agents were not shown how CRM reduced their paperwork – they saw it as surveillance. No training, no buy-in, no adoption. The CRM was abandoned. Classic people failure, not technology failure.

### 3. Information Technology Tools in CRM

CRM systems rely on a stack of IT tools working together. As a CS student, understanding these layers is important.

| IT Tool / Layer                      | Role in CRM                                                                   |
|--------------------------------------|-------------------------------------------------------------------------------|
| CRM Software                         | Core platform (Salesforce, Zoho, HubSpot, SAP CRM, MS Dynamics)               |
| Database (RDBMS)                     | Stores all customer records – MySQL, Oracle, SQL Server                       |
| Data Warehouse                       | Central repository for historical data used in analytics                      |
| ETL Tools                            | Extract, Transform, Load – migrates and integrates data (Talend, Informatica) |
| Business Intelligence                | Dashboards and reporting – Power BI, Tableau, Looker                          |
| AI / ML Engine                       | Predictive analytics – churn scoring, lead scoring, recommendation engine     |
| Marketing Automation                 | Email, SMS, push campaigns – Marketo, Mailchimp, CleverTap                    |
| CTI (Computer Telephony Integration) | Links phone system to CRM for screen pops and call logging                    |
| API / Middleware                     | Connects CRM to ERP, billing, inventory systems (REST APIs, MuleSoft)         |
| Cloud Infrastructure                 | Hosts CRM – AWS, Azure, Google Cloud                                          |

#### Data flow in a CRM system:

Data Sources → ETL → Database / Data Warehouse → CRM → BI / Reports

**Example:** A bank's CRM stack: Oracle DB stores customer records. Informatica ETL pulls transaction data from the core banking system nightly. Salesforce CRM is the front-end for relationship managers. Power BI generates weekly churn risk reports. CTI integration means when a customer calls, Salesforce screen-pops their full profile. All layers working together = effective CRM.

#### 4. Challenges of CRM Implementation

Beyond the immediate issues in Section 2, there are broader *strategic and technical challenges* that persist throughout the CRM lifecycle:

1. **Scalability:** As the customer base grows from thousands to millions, the CRM must handle increasing data volumes without performance degradation.
2. **Data Privacy & Security:** CRM holds sensitive personal data. Breaches are catastrophic. Compliance with GDPR, India's DPDP Act, and PCI-DSS (for payment data) is mandatory.
3. **Customisation vs Standardisation:** Every business wants to customise the CRM to its processes. But heavy customisation makes upgrades painful and increases maintenance cost.
4. **Multi-channel Consistency:** Customers interact via app, website, store, phone. CRM must present a consistent view across all channels – difficult when each channel has separate data systems.
5. **Change Management:** Getting employees to change how they work is harder than configuring software. Resistance to change is the #1 implementation challenge.
6. **Vendor Lock-in:** Once a company's data and processes are built around one CRM vendor (e.g., Salesforce), switching is extremely expensive and disruptive.
7. **ROI Justification:** CRM benefits (better relationships, higher retention) are sometimes hard to quantify in the short term, making it difficult to justify ongoing investment to finance teams.

**Example:** A retail chain implemented a CRM that worked perfectly for 50,000 customers. When the business grew to 5 million customers, queries that ran in seconds now took hours. The CRM was not architected for scale – a classic scalability challenge. They had to re-architect the database with sharding and caching, costing more than the original implementation.

#### 5. CRM Implementation Roadmap

A CRM implementation roadmap is a phased, time-bound plan that outlines every step from project initiation to full deployment and continuous improvement.

##### Standard CRM Implementation Roadmap (7 Phases):

##### Phase 1: Discovery & Assessment (Weeks 1–4)

Understand current state – existing systems, data quality, business processes, and pain points. Define scope and success metrics.

##### Phase 2: CRM Selection (Weeks 3–6)

Evaluate vendors against requirements. Score on features, cost, scalability, integration capability, and support. Issue RFP (Request for Proposal) if needed.

**Phase 3: Planning & Design** *(Weeks 5–10)*

Define data model, user roles and permissions, workflows, integrations, and customisations. Create technical design document.

**Phase 4: Data Migration** *(Weeks 8–14)*

Clean, deduplicate, and transform existing customer data. Test migration with a sample. Run full migration with rollback plan.

**Phase 5: Configuration & Development** *(Weeks 10–20)*

Configure the CRM – custom fields, workflows, automation rules. Build integrations with ERP, email, call centre. Develop custom reports and dashboards.

**Phase 6: Testing & Training** *(Weeks 18–24)*

UAT (User Acceptance Testing) with actual users. Fix issues. Train all user groups – sales, marketing, support, managers – with role-specific training.

**Phase 7: Go-Live & Continuous Improvement** *(Week 24+)*

Launch with hypercare support (extra help for first 4 weeks post-go-live). Collect user feedback. Monitor KPIs. Iterate and improve quarterly.

**Example:** Maruti Suzuki's dealer CRM rollout followed a phased roadmap: Phase 1 – pilot with 10 dealers in Delhi (3 months). Phase 2 – rollout to 100 dealers in top cities (6 months). Phase 3 – national rollout to all 3000+ dealers (12 months). Phased approach allowed issues to be caught and fixed before full scale, reducing risk.

## 6. Roadmap (RM) Performance

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Once the CRM roadmap is being executed, its **performance must be tracked** to ensure the project stays on schedule, within budget, and on course to deliver planned benefits.

### Key Roadmap Performance Indicators:

| Indicator               | What is measured                                    |
|-------------------------|-----------------------------------------------------|
| Schedule Variance       | Are milestones being hit on time?                   |
| Budget Variance         | Is spend tracking within the approved budget?       |
| Scope Creep             | Are new requirements being added that expand scope? |
| User Adoption Rate      | What % of target users are actively using the CRM?  |
| Data Migration Accuracy | What % of records migrated without errors?          |
| Integration Health      | Are all connected systems syncing correctly?        |
| Issue Resolution Rate   | Are bugs and issues from UAT being fixed on time?   |
| Training Completion     | What % of users have completed required training?   |

**Steering Committee Reviews:** A CRM implementation should have a monthly steering committee meeting with senior stakeholders reviewing roadmap performance and making go/no-go decisions for each phase.

**Example:** At month 3 of a 6-month CRM rollout, a steering committee review shows: schedule is on track, but user adoption is only 40% (target was 70%). Root cause: training was delivered but in a classroom format that people forgot. Action: deploy short video tutorials directly inside the CRM interface. Roadmap performance tracking caught the problem early enough to fix it.

## 7. Measuring CRM Performance

After go-live, ongoing measurement determines whether the CRM is delivering business value. This is done through a combination of customer metrics, financial metrics, and operational metrics.

### Framework: Balanced Scorecard for CRM

The Balanced Scorecard applies four perspectives to CRM performance:

| Perspective       | CRM Performance Questions                                |
|-------------------|----------------------------------------------------------|
| Financial         | Has revenue increased? Has churn cost reduced?           |
| Customer          | Are satisfaction scores improving? Is NPS rising?        |
| Internal Process  | Are sales cycles shorter? Is FCR improving?              |
| Learning & Growth | Are employees using CRM effectively? Is adoption rising? |

### How to measure:

- Compare pre-CRM vs post-CRM KPIs (baseline measurement is critical – take it before go-live).
- Set targets for each metric at 3 months, 6 months, and 12 months post-go-live.
- Use CRM's built-in analytics dashboards for real-time tracking.
- Conduct quarterly business reviews to assess progress.

**Example:** Before CRM: churn rate 22%, NPS 31, average sales cycle 45 days. After 12 months of CRM: churn rate 15%, NPS 47, average sales cycle 32 days. These improvements, measured against the baseline, prove the CRM delivered ROI and justify further investment.

## 8. CRM Metrics

CRM metrics are the specific, measurable numbers used to track CRM performance. They fall into four categories:

### a. Customer Acquisition Metrics

| Metric                          | Formula / Description                                  |
|---------------------------------|--------------------------------------------------------|
| Customer Acquisition Cost (CAC) | Total Sales & Marketing Spend / New Customers Acquired |
| Lead Conversion Rate            | Leads Converted to Customers / Total Leads × 100%      |
| Time to First Purchase          | Average days from first contact to first sale          |

### b. Customer Retention Metrics

| Metric                        | Formula / Description                                 |
|-------------------------------|-------------------------------------------------------|
| Retention Rate                | (End Customers – New) / Start Customers × 100%        |
| Churn Rate                    | Customers Lost / Start Customers × 100%               |
| Customer Lifetime Value (CLV) | Avg. Purchase Value × Frequency × Lifespan            |
| Repeat Purchase Rate          | Customers who bought more than once / Total Customers |

**c. Customer Satisfaction Metrics**

| Metric                      | Formula / Description                                               |
|-----------------------------|---------------------------------------------------------------------|
| CSAT                        | $\text{Positive Responses} / \text{Total Responses} \times 100\%$   |
| NPS                         | $\% \text{ Promoters} - \% \text{ Detractors}$                      |
| CES (Customer Effort Score) | How easy was the interaction? (1–7 scale)                           |
| Complaint Resolution Rate   | $\text{Complaints Resolved} / \text{Total Complaints} \times 100\%$ |

**d. Sales & Revenue Metrics**

| Metric               | Formula / Description                                                             |
|----------------------|-----------------------------------------------------------------------------------|
| Sales Cycle Length   | Average days from lead to closed deal                                             |
| Win Rate             | $\text{Deals Won} / \text{Total Deals} \times 100\%$                              |
| Average Deal Size    | $\text{Total Revenue} / \text{Number of Deals}$                                   |
| Cross-sell Rate      | $\text{Customers with } >1 \text{ product} / \text{Total Customers} \times 100\%$ |
| Revenue per Customer | $\text{Total Revenue} / \text{Total Customers}$                                   |
| CRM ROI              | $(\text{Net Benefit from CRM} / \text{CRM Cost}) \times 100\%$                    |

**Example (exam tip):** If asked “how do you measure CRM success?” – use the four categories: Acquisition (CAC, conversion rate), Retention (churn, CLV), Satisfaction (NPS, CSAT), and Revenue (win rate, ROI). Cover all four and you cover the full picture.

### Quick Revision – Key Terms

| Term                   | One-liner                                                             |
|------------------------|-----------------------------------------------------------------------|
| 3 Pillars of CRM Impl. | People, Process, Technology                                           |
| Build vs Buy           | Custom develop CRM or buy off-the-shelf                               |
| Big Bang vs Phased     | All-at-once deploy vs module-by-module rollout                        |
| User Adoption          | #1 reason CRM fails – people don't use it                             |
| Data Quality / GIGO    | Dirty data in = useless CRM out                                       |
| ETL                    | Extract, Transform, Load – data migration tool                        |
| CTI                    | Computer Telephony Integration – links phone to CRM                   |
| Vendor Lock-in         | Hard to switch once fully committed to one CRM vendor                 |
| Scope Creep            | Uncontrolled expansion of project requirements                        |
| UAT                    | User Acceptance Testing – users validate before go-live               |
| Hypercare              | Extra support in first weeks after go-live                            |
| Balanced Scorecard     | 4-perspective CRM measurement: Financial, Customer, Process, Learning |
| CAC                    | Customer Acquisition Cost = Spend / New Customers                     |
| Churn Rate             | Lost Customers / Start Customers $\times$ 100%                        |
| Win Rate               | Deals Won / Total Deals $\times$ 100%                                 |
| CRM ROI                | Net Benefit / CRM Cost $\times$ 100%                                  |

*End of Module 5 Notes – Good Luck with your Exam!*